A. Consistency with the conceptual base for sharing the tax base

27. Arguments in favour or against the existing rules (and their alternatives) are often based on certain assumptions regarding where business profits ought to be taxed. The TAG therefore spent a considerable time discussing what was the most appropriate conceptual base for the inter-country allocation of taxing rights over business profits.

28. As regards tax treaties, the consideration of that issue in a multilateral setting goes back to the work of the International Chamber of Commerce and the League of Nations in the 1920s,[4] and in particular to a 1927 report of an international Committee of Technical Experts which lead to the adoption of the major rules which are now reflected in the OECD Model Tax Convention and on which most current tax treaties are based.[5]

29. The question of the allocation of taxing rights over business profits may be divided in two separate, but intertwined, issues:

- in what circumstances should a country have a legitimate claim to tax the business profits of a foreign enterprise (i.e. the jurisdiction or nexus issue);
- what is the appropriate basis for deciding which part of the business profits of a foreign enterprise should be taxed in a country (i.e. the measurement of profits issue).

Jurisdiction or nexus issue

Residence versus source taxation of business profits

30. A number of theoretical arguments can be used to argue that income should generally be taxed exclusively in the State of residence.[6] This approach, among others, was reviewed and rejected by a group of economists (the "Economists") appointed by the League of Nations to study the question of double taxation from a theoretical and scientific point of view.[7] In place of these theories, the 1923 Economists

---

4 "The search for principles in international revenue and tax-base allocation is nothing new" R.A. Musgrave and P.B. Musgrave, "Inter-nation Equity", in *Modern Fiscal Issues – Essays in honor of Carl S. Shoup,* (R. M. Bird and J. G. Head, editor), page 63, at 64. As an example, these authors referred to the 13th century discussions, between Italian theologians, of the allocation of property as a tax base between situs and owner's domicile.

5 See *Double Taxation and Tax Evasion, Report presented by the Committee of Technical Experts on Double Taxation and Tax Evasion*, 1927 (C.216.M.85.1927.II) (the "1927 Technical Experts' Report"). It is in the Draft Convention presented in the 1927 Technical Experts' Report that the basic permanent establishment Article of today is first introduced.

6 See, for instance, U.S. Treasury, *Blueprints for Basic Tax Reform* (1977). One such argument is based on the ability-to-pay principle: "…the principal normative justification for income taxation is that it allocates the costs of government among taxpayers on the basis of comparative well-being, or ability-to-pay. The conventional view holds that ability-to-pay always should be measured in terms of worldwide income, not income restricted to particular geographical sources. A source taxation regime, however, only reaches income earned within the source country. Consequently such a regime usually does not take the taxpayer's full income into account and, according to the prevailing orthodoxy, cannot be grounded on an ability-to-pay principle. For some analysts, this fact makes source-based income taxation illegitimate." Stephen E. Shay, J. Clifton Fleming Jr. and Robert Peroni, "What's Source Got to Do With It? Source Rules and International Taxation", The David R. Tillinghast Lecture, 56 *Tax Law Review* (2002), 81 at 92 (this article, however, does not endorse that reasoning and supports source taxation).

7 See Report on Double Taxation, submitted to the Financial Committee by Professors Bivens, Einaudi, Seligman and Sir Josiah Stamp, League of Nations Doc E.F.S.73 F.19, (the "1923 Economists Report").